INVESTCENT
INVESTMENT BANK

INVESTMENT BANKING DIVISION
Nairobi, Kenya

Stage 2 of 3 — Technical Interview

Candidate name:

Date issued: 03/08/2026 – 2p.m

Submission deadline: 06/08/2026 – 2 p.m.

Instructions to the Candidate

This is a technical assessment for the Investment Banking Analyst – Advisory role.

It is designed to test the practical skills you will use daily on live advisory mandates: **financial modelling, valuation, project financing, portfolio design, competitive tendering, and the preparation of client-ready documents.**

It is deliberately broad. We do not expect a flawless answer to every part; we are assessing how you structure a problem, the soundness of your technical judgement, and the quality and honesty of what you produce.

Time and effort

- You have five (3) calendar days from the date of issue. We estimate the pack requires 8–12 hours of focused work. Manage your time as you would a live deal — prioritize, and do not gold-plate one section at the expense of another.
- Work independently. You may use any public data, textbooks or reference material, but the analysis, models and documents must be your own. Cite any external source you rely on.

What to submit

1. A financial model in Microsoft Excel (Sections A and C).
2. A short presentation of your findings, 10–12 slides, in PowerPoint or PDF (Deliverable 1).
3. A research brief of no more than six pages in Word or PDF (Deliverable 2).
4. Your answers to Sections B, D, E and — these may be in the same Word document as the brief, clearly separated by section, or in a separate file.

Name every file **Surname_Firstname_[Section].xlsx/pptx/docx**. Submit by email to the address provided in your invitation before the deadline.

How you will be marked

Each section carries the weight shown in its heading. We reward **clearly stated assumptions, correct mechanics, sensible sanity-checks, and a defensible recommendation** over false precision. Where you are unsure, state your assumption and proceed — an explicit, reasonable assumption never loses marks; a hidden or unstated one does.

A note on the data. *All companies, funds, schemes and figures in this pack are fictional and simplified for assessment purposes. Where a case refers to a regulator (CMA, RBA, SASRA) or a vehicle such as the National*

Infrastructure Fund, apply the simplified rules stated in the case. If you know the current statutory position differs, note it briefly — we will credit that.

At a Glance

Section	Competency tested	Weight	Deliverable
A	Financial modelling — project finance	25%	Excel model
B	Valuation	15%	Working answer
C	Project financing — National Infrastructure Fund	15%	Excel model (funding)
D	Portfolio design — pension scheme SAA	15%	Working answer
E	SACCO capital, liquidity & investment	10%	Working answer
Deliverable 1	Presentation of findings	10%	Slides
Deliverable 2	Research brief	10%	Word / PDF

Total: 100%. Sections A and C share one Excel model. Deliverable 1 presents your findings from Sections A–C; Deliverable 2 is the written research brief backing (i) your financial model and (ii) the National Infrastructure Fund / pension / SACCO case.

Section A — Financial Modelling (25%)

Case: Rift Valley Solar IPP

A sponsor is developing a 50 MW solar independent power producer (IPP) in the Rift Valley and has engaged the firm as financial adviser. You are asked to build the project finance model that will underpin the funding discussions in Section C. The base-case assumptions are below.

Assumption	Value	Note
Installed capacity	50 MW	
Total construction cost (capex)	USD 60.0 m	Incurred evenly over a 12-month build
Commercial operation date	1 Jan 2027	Year 1 of operations
Net capacity factor	21%	Applied to gross generation
PPA tariff	USD 0.075 / kWh	20-year take-or-pay PPA with the offtaker
Tariff escalation	1.5% per year	From Year 2
Operating cost	USD 1.2 m in Year 1	Escalating 3% per year
Useful life / depreciation	20 years straight-line	Asset fully depreciated over the PPA
Corporate tax rate	30%	Assume tax paid in the year incurred
Days per year	8,760 hours	

Required

1. Build a project finance model with annual periods from construction through the 20-year operating life. Include, as a minimum, a revenue build (generation → tariff → revenue), an operating cost build, a simple depreciation and tax schedule, and a cash flow available for debt service (CFADS) line.
2. Compute annual EBITDA, CFADS, and the project's unlevered free cash flow. Calculate the project (unlevered) IRR and NPV at a 10% discount rate.
3. Structure the model so that the debt assumptions in Section C can be switched on without rebuilding it — i.e. leave a clean CFADS line that debt service will draw from.
4. Include a one-page assumptions tab and at least two sensitivities (e.g. capacity factor and tariff) on project IRR.

Modelling standards. Use consistent formulas across all periods, colour inputs distinctly from calculations, avoid hard-coding numbers inside formulas, and make sure the model has no formula errors. We will open your model and change an input — it must recalculate cleanly.

Section B — Valuation (15%)

Case: Muguga Industries Ltd

A private mid-cap Kenyan manufacturer, Muguga Industries Ltd, is exploring a sale. The shareholders have asked the firm for an indicative valuation range. Summary financials (most recent full year) are below.

Metric	Value (KES m)	Metric	Value (KES m)
Revenue	4,500	Net debt	1,100
EBITDA	720	Annual maintenance capex	260
EBITDA margin	16.0%	Depreciation	300
EBIT	420	Cash tax rate	30%
Near-term revenue growth	8% p.a.	Minority interests	0
Long-term (terminal) growth	4%	Shares outstanding	120 m

Market reference points (assume these for the exercise): comparable listed manufacturers trade at **6.0x–8.0x EV/EBITDA**; recent precedent transactions in the sector completed at **7.5x–9.0x EV/EBITDA**; an estimated KES-denominated WACC of **17.5%**.

Required

1. Value the business using Two methods: trading comparables, and precedent transactions. State your assumptions for each.
2. Bridge from enterprise value to equity value per share for each method.
3. Present the results as a valuation range (a 'football field') and state, in two or three sentences, where in the range you would anchor the shareholders' expectations and why.

Section C — Project Financing (15%)

Case: National Infrastructure Fund co-financing of the Solar IPP

The National Infrastructure Fund ("the NIF") — a fictional government-anchored fund that provides senior debt to bankable Kenyan infrastructure projects — is considering financing the Rift Valley Solar IPP from Section A. Using your Section A CFADS, structure the debt package the firm would propose to the NIF's credit committee. The NIF's simplified financing terms for this exercise are below.

Term	Requirement
Maximum gearing	70% of total project cost (debt : equity 70:30)
Tenor	Up to 15 years from commercial operation
Interest rate	8.0% per annum on drawn senior debt
Minimum DSCR covenant	1.30x in every period
Repayment profile	Sculpted to a target DSCR, or level, at your choice — justify it
Debt Service Reserve Account	Six months of forward debt service, funded at COD
Cash sweep	50% of surplus cash after DSCR is met, until debt is repaid

Required

1. Determine the maximum senior debt the project can support, tested against both the 70% gearing cap and the 1.30x minimum DSCR. State which constraint binds.
2. Produce a sources-and-uses table and a debt repayment schedule (drawdown, interest, principal, closing balance, DSCR per period).
3. Show the resulting equity IRR and the minimum and average DSCR across the debt tenor.
4. In a short paragraph, tell the NIF credit committee why this is (or is not) bankable, and name the two risks you would most want to mitigate before financial close.

Section D — Portfolio Design (15%)

Case: Mzalendo Staff Pension Scheme

The Mzalendo Staff Pension Scheme is a Kenyan occupational retirement scheme regulated by the Retirement Benefits Authority (RBA). The trustees have asked the firm to review the scheme's strategic asset allocation (SAA) and to advise whether it should take an allocation to infrastructure via the National Infrastructure Fund. Scheme facts:

Scheme fact	Value
Assets under management	KES 6.0 bn
Funding ratio (assets ÷ liabilities)	96%
Average member age	42 years
Proportion of members retired / near retirement	20%
Current allocation	65% Kenya govt securities, 20% quoted equity, 10% property, 5% cash
Investment horizon	Long-term, open scheme

For this exercise, assume the following simplified RBA maximum limits by asset class (as a % of total assets): **government securities 90%; quoted equity 70%; immovable property 30%; guaranteed funds 100%; offshore 15%; private equity 10%; infrastructure 30%; cash & demand deposits 5%.** *If you believe the current statutory limits differ, note it — but design to the figures given.*

Required

1. Comment on the current allocation given the scheme's funding ratio, demographics and horizon. Is it well-positioned? What are the main risks (interest-rate, concentration, liquidity)?
2. Propose a revised strategic asset allocation. Present it as a table of target weights that respects every limit above and sums to 100%, with a one-line rationale per asset class.
3. Recommend whether — and how much — the scheme should allocate to infrastructure via the NIF, and explain how that allocation fits the scheme's liabilities and liquidity needs.
4. State two portfolio-level metrics you would monitor to test the design over time (e.g. duration gap, expected return vs discount rate, liquidity coverage).

Section E — SACCO Capital, Liquidity & Investment (10%)

Case: Amani SACCO Society Ltd

Amani SACCO Society Ltd is a deposit-taking SACCO regulated by SASRA. Its board wants to know whether it is adequately capitalised, whether it has surplus funds to invest, and whether it may place any surplus into the National Infrastructure Fund. Balance sheet summary:

Item	Value (KES m)	Item	Value (KES m)
Total assets	3,200	Total deposits	2,400
Net loans & advances	2,500	Core capital	300
Liquid assets	360	Institutional capital	210
External borrowings	250	Total liabilities & equity	3,200

Apply the following simplified SASRA prudential minimums for this exercise: **core capital ≥ 10% of total assets; core capital ≥ 8% of total deposits; institutional capital ≥ 8% of total assets; liquidity ratio ≥ 15% of deposits and short-term liabilities.**

Required

1. Compute each ratio above and state, with the numbers, whether Amani SACCO meets each minimum. Flag any breach.
2. Advise the board whether SACCO has genuine surplus capital or liquidity to invest, and how much, without breaching any ratio.

3. Advise whether — under a prudent reading of the rules and the SACCO's liquidity needs — placing member deposits into an illiquid, long-dated infrastructure fund is appropriate. Set out the trade-offs.

Deliverables — Document Preparation

Two deliverables test whether you can turn analysis into client-ready material — a core part of the analyst role.

Deliverable 1 — Presentation of findings (10%)

Prepare a concise 10–12 slide presentation, as you would take to an internal deal review, summarising your findings from Sections A to C (the Solar IPP model, its valuation implications, and the NIF financing structure). It should include, in a logical flow:

- An executive summary and clear recommendation on the front page.
- The project and the investment thesis, in plain language.
- Key model outputs — project economics, funding structure, returns and DSCR — presented visually, not as raw tables.
- The main risks and your proposed mitigants.
- A clear 'ask' / next steps slide.

We are assessing structure, storytelling and visual discipline as much as content. Assume a numerate but time-poor audience.

Deliverable 2 — Research brief (10%)

Write a research brief of no more than six pages that provides the analytical backing for two things:

1. Your financial model (Sections A and C) — the market and technical assumptions behind the Solar IPP, why they are reasonable, and the sources you relied on.
2. The case study using the National Infrastructure Fund, pension schemes and SACCOs (Sections C, D and F) — a short, well-referenced view on how Kenyan infrastructure can be financed by domestic institutional capital, the regulatory constraints RBA and SASRA place on that, and the opportunities and risks for each investor type.

Cite your sources. Clarity, correct use of evidence and a defensible point of view matter more than length. A brief that is tight, well-referenced and four pages long will score better than a padded six.

If any instruction is unclear, state the assumption you have made and proceed. Good luck.